

Multiple Choice (10 marks)

1. A minimum wage in the market for fast-food workers is likely to produce
 - (a) an increase in the demand for fast-food workers.
 - (b) a decrease in the supply of fast-food workers.
 - (c) a shortage of fast-food workers.
 - (d) a surplus of fast-food workers.
2. Which of the following is not a scarce economic resource?
 - (a) Labor
 - (b) Capital
 - (c) Human wants
 - (d) Land
3. Which of the following is correct about the demand for labor?
 - (a) The demand for labor is independent of the demand for other inputs or resources.
 - (b) The demand for labor is independent of the demand for the products produced by labor.
 - (c) The demand for labor is independent of the availability of other inputs or resources.
 - (d) The demand for labor is derived from the demand for the products produced by labor.
4. If interest rates rise relatively more in country A than in country B then the value of country A's currency will
 - (a) appreciate.
 - (b) depreciate.
 - (c) remain unchanged.
 - (d) change indeterminately.
5. The market demand curve for labor will shift to the right when
 - (a) the number of firms increases
 - (b) the price of output decreases
 - (c) the labor supply curve shifts to the right
 - (d) the labor supply curve shifts to the left

True / False (10 marks)

Answer True or False

6. True or False: The demand curve for a firm operating under perfect competition is a perfectly horizontal line, reflecting a constant price at which it can sell its output.
7. True or False: Normal goods always have an elastic demand curve, indicating that demand changes significantly with price changes.
8. True or False: Increasing the reserve ratio is an example of expansionary monetary policy by the Federal Reserve.
9. True or False: Increased consumer wealth and optimism would result in a rise in the demand for loanable funds in the market.
10. True or False: A monopoly typically results in more deadweight loss compared to a competitive market with the same costs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a combination of fiscal policy, such as increasing taxes, and monetary policy, like adjusting the discount rate, can work together to mitigate inflation.
12. Discuss what Matt's demand curve for bratwurst would look like if his total utility from consuming bratwurst increased at a constant rate. Explain the implications of this scenario.

End of Paper